

Market Structures

	Pure Competition	Monopolistic Competition	Oligopoly	Monopoly
Number of Producers	Many	Many	Few	One
Type of Product	Standardized or Homogeneous	Differentiated	Standardized or Differentiated	Unique; no close substitutes
Price Control	Price Takers	Some, but within narrow limits	Limited by mutual interdependence; considerable with collusion	Considerable (Price Maker), often regulated
Non-Price Competition	None	Considerable: advertising, branding	Typically a great deal	Mostly public relations advertising
Ease of Entry and Exit	Open	Relatively easy	Significant obstacles	Blocked

Vocab:

Definition

Standardized	All products are basically the same, so buyers don't care which seller they buy from.
Homogeneous	Another word for standardized — the products are identical (like corn or gold).
Differentiated	Products are similar but a little different, so brands stand out (like different burger chains).
Price Taker	A seller so small it can't change the market price — it just accepts the going price.
Collusion	When competing firms secretly team up to set prices or limit output instead of competing.
Non-Price Competition	Competing by things other than price — like advertising, branding, quality, or service.